



**Quarterly Report
of the Dino Polska S.A. Group
for Q3 2019**

Unofficial translation. Only the Polish version is binding.

Dino Polska Spółka Akcyjna („Dino”, „Company”, „parent company”) joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. Taxpayer Identification Number [NIP]: 6211766191, Statistical Number [REGON]: 300820828. The Company’s share capital as at 30 September 2019 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document (“Q3 2019 Report”, “Report”) comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska S.A. Group (“Group”, “Dino Group”) for the third quarter of 2019 (“Financial Statements”), the Company’s condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 7 November 2019 (“Report Date”).

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1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	<i>from 1 January 2019 to 30 September 2019</i>	<i>from 1 January 2018 to 30 September 2018</i>	<i>from 1 January 2019 to 30 September 2019</i>	<i>from 1 January 2018 to 30 September 2018</i>
Sales revenues	5,523,446	4,225,063	1,281,958	993,320
Operating profit	387,230	289,978	89,874	68,174
Profit before tax	345,040	258,002	80,082	60,657
Net profit	281,906	208,730	65,429	49,073
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	2.88	2.13	0.67	0.50
Cash flow from operating activities	319,509	357,521	74,156	84,054
Cash flow from investing activities	(629,075)	(473,062)	(146,005)	(111,218)
Cash flow from financing activities	202,281	29,411	46,948	6,915
Net change in cash and cash equivalents	(107,285)	(86,130)	(24,900)	(20,249)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2019: 4.3086
- NBP's average exchange rate for Q1-Q3 2018: 4.2535

	PLN 000s		EUR 000s*	
	<i>as at 30 September 2019</i>	<i>as at 31 December 2018</i>	<i>as at 30 September 2019</i>	<i>as at 31 December 2018</i>
Total assets	3,767,824	3,287,690	861,493	764,579
Total non-current assets	3,009,795	2,458,378	688,173	571,716
Total current assets	758,029	829,312	173,319	192,863
Equity	1,493,779	1,211,873	341,544	281,831
Share capital	9,804	9,804	2,242	2,280
Non-current liabilities	998,336	693,176	228,264	161,204
Current liabilities	1,275,709	1,382,641	291,684	321,544

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2019: 4.3736
- NBP's average exchange rate as at 31 December 2018: 4.3000

2. MANAGEMENT BOARD ACTIVITY REPORT

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 30 September 2019, the Dino network consisted of 1,113 stores with a total selling area of 430,536 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 524, i.e. 89%, in the period of three years up to 30 September 2019. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its existing store network, which in the period of January-September 2019 stood at 11.4% compared to the corresponding period of 2018. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

The Dino Polska Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on four distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Polska Group's profitability.

Dino's strategy assumes further business development through focus on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, the Dino Group will take actions to augment customer traffic in Dino stores and the basket value per customer.
- consistent improvement of profitability – in past years the Dino Group generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by the Dino Group.

2.1.2. Recap of the Dino Group's operations in Q3 2019¹

In Q3 2019 the Dino Group's revenues were PLN 2,023.3 million, meaning they were up by PLN 479.4 million, i.e. 31.0% higher than in Q3 2018. Concurrently, the cost of sales climbed 31.3% to PLN 1,532.4 million. YTD, in the first 9 months of 2019 the Dino Group's revenues totaled PLN 5,523.4 million, and were up PLN 1,298.4 million, or 30.7% compared to the corresponding period of 2018. At the same time, the cost of sales rose 30.0% to PLN 4,181.7 million.

The table below presents selected line items from the consolidated statement of profit or loss

(PLN 000s)	Q3 2019	Q3 2018	change	Q1-Q3 2019	Q1-Q3 2018	change
Sales revenues	2,023,304	1,543,927	31.0%	5,523,446	4,225,063	30.7%
Cost of sales	(1,532,432)	(1,167,198)	31.3%	(4,181,671)	(3,217,558)	30.0%
Gross profit on sales	490,873	376,729	30.3%	1,341,775	1,007,505	33.2%
Other operating income	1,842	255	622.6%	4,988	3,338	49.4%
Sales and marketing expenses	(320,561)	(248,438)	29.0%	(897,685)	(677,533)	32.5%
General administration expenses	(20,976)	(14,600)	43.7%	(56,036)	(41,501)	35.0%
Other operating expenses	(791)	(925)	-14.4%	(5,812)	(1,831)	217.4%
Operating profit	150,387	113,021	33.1%	387,230	289,978	33.5%
Financial income	382	154	148.3%	637	301	111.7%
Financial expenses	(15,166)	(11,632)	30.4%	(42,827)	(32,277)	32.7%
Profit before tax	135,603	101,543	33.5%	345,040	258,002	33.7%
Income tax	(26,154)	(19,268)	35.7%	(63,134)	(49,272)	28.1%
Net profit	109,449	82,275	33.0%	281,906	208,730	35.1%

In Q3 2019 profit measured by EBITDA grew year on year by 36.1% to PLN 192.5 million. The EBITDA margin was 9.5% versus the 9.2% margin posted one year ago. YTD, at the end of the first 9 months of 2019 profit measured by EBITDA grew year on year by 36.5% to PLN 505.7 million. The EBITDA margin was 9.2%, i.e. 0.4 percentage points above its level in the period of January-September 2018.

The following table presents EBITDA

(PLN 000s)	Q3 2019	Q3 2018	change	Q1-Q3 2019	Q1-Q3 2018	change
Net profit	109,449	82,275	33.0%	281,906	208,730	35.1%
Income tax	(26,154)	(19,268)	35.7%	(63,134)	(49,272)	28.1%
Financial result	(14,784)	(11,478)	28.8%	(42,190)	(31,976)	31.9%
Depreciation and amortization	42,087	28,442	48.0%	118,491	80,472	47.2%
EBITDA	192,473	141,463	36.1%	505,721	370,450	36.5%
EBITDA margin	9.5%	9.2%		9.2%	8.8%	-

Sales revenues

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the existing store network (like for like, LfL)². LfL sales growth in Q3 2019 was 12.0%, compared to the corresponding period of 2018. In January-September 2019 LfL sales growth was 11.4%.

¹Financial results are presented: (i) under IFRS 16 (pertains to 2019 data) – see section 2.4 Impact exerted by the IFRS 16 standard, (ii) transformation of comparable data – see section 5.4 Other information – Correction of errors of previous periods.

² stores are included in the calculation of LfL revenues starting from the 13th full month of their existence

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	2019			Q1-Q3			2018	2017	2016
	Q3	Q2	Q1	2019	2018	2017			
Inflation (deflation)	2.8	2.4	1.2	2.1	1.7	1.9	1.6	2.0	-0.6
Food price inflation	6.7	4.7	1.8	4.4	3.1	3.8	2.6	4.2	0.8
Dino's LFL	12.0	16.6	5.0	11.4	12.4	15.2	11.6	16.2	11.3

Fresh products, including meat, cold cuts and poultry, accounted for 38.4% of the Group's sales in Q3 2019 and for 38.8% in the January-September 2019 period, i.e. up by 1.4 percentage points and 0.9 percentage points versus the corresponding periods of 2018.

The table below shows the structure of sales revenues by product in individual periods.

%	Q3 2019	Q3 2018	Q1-Q3 2019	Q1-Q3 2018
Fresh products	38.4	37.0	38.8	37.9
Dry grocery products, beverages, alcohol and cigarettes	50.6	52.1	49.7	50.7
Non-grocery products	11.0	10.9	11.5	11.4

Dino store network roll-out

In Q3 2019, 57 new Dino stores were opened, or 24% more than last year. YTD from the beginning of 2019, 138 stores have been opened versus 120 in the corresponding period of last year. As at 30 September 2019, the Dino network consisted of 1,113 stores, 218 more than last year.

The following table presents information on the Dino Group's number of stores as at specified dates.

	As at 30 September		As at 31 December		
	2019	2018	2018	2017	2016
Number of new store openings (YTD)	138	120	202	147	123
Total number of stores	1,113	895	977	775	628
Total selling area (m ²)	430,536	343,281	375,715	295,226	238,416
Growth of sales area y/y	25.4%	25.7%	27.3%	23.8%	24.4%

Cost of sales

The cost of sales was 75.7% and 75.6% of revenue, respectively in Q3 2019 and Q3 2018. The cost of sales rose PLN 365.2 million, i.e. by 31.3% to PLN 1,532.4 million in Q3 2019 compared to PLN 1,167.2 million in Q3 2018, with a corresponding 31% increase of sales revenues. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in the existing store network (LFL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 72.1 million, i.e. 29.0% to PLN 320.6 million in Q3 2019 compared to PLN 248.4 million in Q3 2018. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the store network and rising LFL sales in the existing store network, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

General administration expenses

General administration expenses rose PLN 6.4 million, or 43.7%, to PLN 21.0 million in Q3 2019 compared to PLN 14.6 million in Q3 2018. This was caused mainly by the expansion of the Dino Group's store network.

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q3 2019	Q3 2018	change	Q1-Q3 2019	Q1-Q3 2018	change
Depreciation and amortization	42,087	28,442	48.0%	118,491	80,472	47.2%
Consumption of materials and energy	192,774	138,318	39.4%	503,064	369,755	36.1%
External services	80,634	67,878	18.8%	217,990	177,542	22.8%
Taxes and fees	9,314	7,371	26.4%	29,337	22,674	29.4%
Employee benefits	220,415	170,555	29.2%	625,268	470,688	32.8%
Other costs by nature	10,065	5,625	78.9%	24,015	13,500	77.9%
Cost of goods and materials sold	1,320,932	1,011,136	30.6%	3,621,441	2,803,289	29.2%
Total costs by nature, including:	1,876,221	1,429,325	31.3%	5,139,606	3,937,920	30.5%
Items captured in cost of sales	1,532,431	1,167,198	31.3%	4,180,449	3,217,558	29.9%
Items captured in sales and marketing expenses	320,561	248,438	29.0%	894,357	677,533	32.0%
Items captured in general administration expenses	20,976	14,600	43.7%	58,444	41,501	40.8%
Movement in products	2,253	(911)	-	6,356	1,328	378.6%

Total costs by nature rose PLN 446.9 million, or 31.3%, to PLN 1,876.2 million in Q3 2019, compared to PLN 1,429.3 million in Q3 2018, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 309.8 million), (ii) consumption of materials and energy (up PLN 54.5 million), (iii) external services (up PLN 12.8 million) and (iv) costs of employee benefits (up PLN 49.9 million). This growth was caused mainly by the expansion of the Dino Group's store network and rising sales in the current store network (LFL).

The costs of employee benefits rose PLN 49.9 million, i.e. 29.2% to PLN 220.4 million in Q3 2019 compared to PLN 170.6 million in Q3 2018). This growth resulted primarily from the higher number of Dino Group employees from 15,652 as at 30 September 2018 to 19,404 as at 30 September 2019 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising LFL sales in the existing network and, to a lesser extent, from the higher average salary in the Dino Group.

External services, which comprised in particular transportation services, lease and tenancy services, and maintenance services, increased by PLN 12.8 million, or 18.8%, to PLN 80.6 million in Q3 2019 compared to PLN 67.9 million in Q3 2018. This growth was caused by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the current store network.

Consumption of materials and energy increased by PLN 54.5 million, or 39.4%, to PLN 192.8 million in Q3 2019 compared to PLN 138.3 million in Q3 2018. This growth was caused mainly by the higher costs of consumed materials and raw materials in connection with the Dino Group's expanding business size, the expansion of the Dino Group's store network, rising LFL sales in the current store network and to a lesser extent the electricity price hike.

Financial expenses

Dino Group's financial expenses rose PLN 3.5 million, or 30.4%, to PLN 15.2 million in Q3 2019 compared to PLN 11.6 million in Q3 2018. This growth was caused mainly by the higher amount of interest on loans, borrowings and issued bonds as a result of the Group's growing business size and the related expansion of the Dino Group's store network and rising LFL sales in the existing store network.

Balance sheet – assets

(PLN 000s)	30.09.2019	30.06.2019	31.12.2018	30.09.2018	Change 30 September 2019 / 30 June 2019	Change 30 September 2019 / 30 September 2018
Property, plant and equipment	2,670,379	2,487,966	2,347,025	2,090,369	7.3%	27.7%
Right-of-use assets *	223,258	250,672	-	-	-10.9%	-
Intangible assets	98,354	98,457	95,024	93,653	-0.1%	5.0%
Deferred tax assets	17,788	17,688	16,307	14,141	0.6%	25.8%
Total non-current assets	3,009,795	2,854,801	2,458,378	2,198,187	5.4%	36.9%
Inventories	523,290	489,075	445,357	376,507	7.0%	39.0%
Trade and other receivables	25,803	57,820	38,530	52,775	-55.4%	-51.1%
Income tax receivables	8	851	0	21	-99.1%	-61.9%
Other non-financial assets	47,271	40,547	76,483	57,659	16.6%	-18.0%
Cash and cash equivalents	161,657	348,177	268,942	91,213	-53.6%	77.2%
Total current assets	758,029	936,470	829,312	578,175	-19.1%	31.1%
TOTAL ASSETS	3,767,824	3,791,271	3,287,690	2,776,362	-0.6%	35.7%

* up to the end of 2018 they formed part of property, plant and equipment

Total assets increased by PLN 991.5 million, i.e. 35.7%, from PLN 2,776.4 million as at 30 September 2018 to PLN 3,767.8 million as at 30 September 2019. Compared to 30 June 2019, total assets dipped by PLN 23.4 million, or 0.6%. As at 30 September 2019, the main components of total assets were: (i) property, plant and equipment (constituting 70.9%), (ii) inventory (constituting 13.9%), (iii) right-of-use assets (constituting 5.9%) and (iv) cash and cash equivalents (constituting 4.3%).

Non-current assets rose by PLN 811.6 million, i.e. 36.9%, from PLN 2,198.2 million as at 30 September 2018 to PLN 3,009.8 million as at 30 September 2019. Compared to 30 June 2019, non-current assets rose by PLN 155.0 million, or 5.4%. In both cases this growth was caused mainly by higher property, plant and equipment which, in turn, was caused primarily by the Dino Group's network rollout (new Dino stores) and capital expenditures.

Current assets increased by PLN 179.9 million, i.e. 31.1%, from PLN 578.2 million as at 30 September 2018 to PLN 758.0 million as at 30 September 2019. The increase was caused mainly by inventories moving up by PLN 146.8 million, which in turn was precipitated by the Dino Group's expanding business size.

Compared to 30 June 2019, current assets fell PLN 178.4 million (-8.5%) driven by lower cash and cash equivalents.

Balance sheet – liabilities and equity

(PLN 000s)	30.09.2019	30.06.2019	31.12.2018	30.09.2018	Change 30 September 2019 / 30 June 2019	Change 30 September 2019 / 30 September 2018
Equity	1,493,779	1,384,330	1,211,873	1,113,223	7.9%	34.2%
Share capital	9,804	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	1,652,132	1,652,132	1,307,273	1,307,273	0.0%	26.4%
Retained earnings	-175,657	-285,106	-112,704	-211,353	-38.4%	-16.9%
Other equity	7,500	7,500	7,500	7,500	0.0%	0.0%
Total equity	1,493,779	1,384,330	1,211,873	1,113,223	7.9%	34.2%
Interest-bearing loans and borrowings	597,029	629,803	518,240	521,528	-5.2%	14.5%
Lease liabilities (LT)*	112,002	115,819	-	-	-3.3%	-
Other liabilities	210	210	240	240	0.0%	-12.5%
Liabilities by virtue of outstanding securities (LT)	269,522	269,463	99,829	99,822	0.0%	170.0%
Provisions for employee benefits	1,550	1,550	1,550	1,230	0.0%	26.0%
Provision for deferred tax liability	17,898	10,613	5,923	11,337	68.6%	57.9%
Accruals and deferred revenue (LT)	125	185	306	366	-32.6%	-65.9%
Total non-current liabilities	998,336	1,027,643	693,176	634,523	-2.9%	57.3%
Trade and other payables	1,021,585	1,124,541	1,141,934	832,436	-9.2%	22.7%
Current part of interest-bearing loans and borrowings	132,572	128,523	103,837	134,783	3.2%	-1.6%
Lease liabilities (ST)*	53,927	62,251	-	-	-13.4%	-
Liabilities by virtue of outstanding securities (ST)	709	702	654	637	1.1%	11.3%
Income tax liabilities	40,173	31,880	67,004	33,128	26.0%	21.3%
Accruals and deferred revenue (ST)	26,202	30,860	23,832	27,281	-15.1%	-4.0%
Provisions for employee benefits and other provisions	541	541	541	351	0.0%	54.0%
Total current liabilities	1,275,709	1,379,298	1,382,641	1,028,616	-7.5%	24.0%
Total liabilities	2,274,045	2,406,941	2,075,817	1,663,139	-5.5%	36.7%
TOTAL EQUITY AND LIABILITIES	3,767,824	3,791,271	3,287,690	2,776,362	-0.6%	35.7%

* up to the end of 2018 they formed part of interest-bearing loans and borrowings

As at 30 September 2019, the main components of liabilities were: (i) trade and other payables (short-term) representing 44.9%; (ii) interest-bearing loans and borrowings (long-term) representing 26.3% thereof and (iii) liabilities under outstanding securities representing 11.9%.

Total liabilities rose PLN 610.9 million, i.e. 36.7%, from PLN 1,663.1 million as at 30 September 2018 to PLN 2,274.0 million as at 30 September 2019. Total liabilities fell PLN 132.9 million, i.e. 5.5% from PLN 2,406.9 million as at 30 June 2019 to PLN 2,274.0 million as at 30 September 2019.

The Dino Group's net debt³ stood at PLN 1,004.1 million as at 30 September 2019, signifying growth of PLN 338.5 million compared to 30 September 2018 and growth of PLN 145.7 million compared to 30 June 2019. The net debt to EBITDA ratio for the last 12 months was 1.48x as at 30 September 2019. As at 30 September 2018 this ratio was 1.34x.

³ defined as interest-bearing loans and borrowings and lease liabilities + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.

Cash flows

(PLN 000s)	Q3 2019	Q3 2018	change	Q1-Q3 2019	Q1-Q3 2018	change
Net cash from operating activities, including:	62,093	146,316	-57.6%	319,509	357,521	-10.6%
<i>profit before tax</i>	135,603	101,543	33.5%	345,040	258,002	33.7%
<i>depreciation and amortization</i>	42,087	28,442	48.0%	118,491	80,472	47.2%
<i>movement in working capital</i>	(119,808)	10,576	-	(102,276)	12,232	-
<i>other</i>	4,210	5,755	-26.8%	(41,746)	6,815	-
Net cash from investing activities	(194,827)	(194,567)	0.1%	(629,075)	(473,062)	33.0%
Net cash from financing activities	(53,786)	(32,192)	67.1%	202,281	29,411	587.8%
Net increase in cash and cash equivalents	(186,520)	(80,443)	131.9%	(107,285)	(86,130)	24.6%

The Dino Group generated net operating cash flow in Q3 2019 totaling PLN 62.1 million. In Q3 2018 it was PLN 146.3 million. The decrease in net cash flow from operating activities was driven mainly by the lower level of working capital in conjunction, among other things, with opening the new distribution center in Rzeszotary at the outset of 2019.

Net cash flow from investing activities totaled PLN -194.8 million in Q3 2019, i.e. it was at the same level as in Q3 2018. The high level of capital expenditures stems chiefly from the high pace of new Dino store openings.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business until the end of 2019:

- pace of new store openings by the Dino Group and the related capital expenditures,
- favorable economic situation in Poland resulting in increasing disposable income and consumption expenditures of customers;
- growth rate of the prices of consumer goods and services, in particular food and soft drinks,
- regulatory environment: government programs translating into incremental consumer disposable income and the gradual deployment of the Sunday trading ban;
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses; improved efficiency of logistics services provided to all stores,
- decreasing unemployment and unstable and uncertain situation in the labor market in individual regions.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of Dino Polska S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ⁴	50,103,000	51.1%
Other shareholders	47,937,000	48.9%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

At the Report Date, Szymon Piduch, President of the Management Board, held 141,000 shares. Compared to 30 June 2019 and the publication date of the H1 2019 report, the number of shares held by Szymon Piduch has not changed. Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. Compared to 30 June 2019 and the publication date of the H1 2019 report, the number of shares held by Michał Krauze has not changed. Michał Muskała, a Management Board Member, did not hold any Company shares as at the Report Date. Compared to 30 June 2019 and the publication date of the H1 2019 report, the number of Company shares held by Michał Muskała has not changed.

Among the Supervisory Board members, as at the Report Date the following members held shares in Dino: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above and Eryk Bajer (Supervisory Board Member) – 19,900 shares and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of Company shares held by Supervisory Board members has not changed since the date of publishing the H1 2019 report.

2.3. Operating Segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)

	Q1-Q3 2019	Q1-Q3 2018
Revenue on sales of products and services	678,297	522,148
Revenue on sales of goods and materials	4,845,149	3,702,915
Total	5,523,446	4,225,063

2.4. Impact exerted by the IFRS 16 standard

As of 2019, the Dino Polska Group prepares consolidated financial statements in compliance with the new IFRS 16 standard on the measurement and presentation of leases.

⁴ BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 103 thousand Company shares

The Group has implemented IFRS 16 using the modified retrospective method, which means that the Group does not restate data from previous periods. To facilitate data comparability information is presented below on the impact exerted by the application of the IFRS 16 standard on the results of Q1-Q3 2019.

- impact on EBITDA: increase by PLN 8,769 thousand (mainly as a result of lower lease expenses in external services)
- depreciation and amortization: increase by PLN 7,730 thousand
- impact on operating profit: increase by PLN 1,040 thousand (mainly as a result of lower lease expenses in external services and higher depreciation and amortization)
- financial expenses: increase by PLN 1,514 thousand
- profit before tax: decrease by PLN 475 thousand
- non-current lease liabilities: increase by PLN 47,075 thousand
- current lease liabilities: increase by PLN 9,811 thousand

3. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE DINO POLSKA S.A. GROUP

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2019 to 30 September 2019 (PLN 000s)

	<u>01.01.2019- 30.09.2019</u>	<u>01.01.2018- 30.09.2018*</u>	<u>01.07.2019- 30.09.2019</u>	<u>01.07.2018- 30.09.2018*</u>
Continuing operations				
Sales revenues	5,523,446	4,225,063	2,023,304	1,543,927
Cost of sales	(4,181,671)	(3,217,558)	(1,532,431)	(1,167,198)
Gross profit on sales	1,341,775	1,007,505	490,873	376,729
Other operating income	4,988	3,338	1,842	255
Sales and marketing expenses	(897,685)	(677,533)	(320,561)	(248,438)
General administration expenses	(56,036)	(41,501)	(20,976)	(14,600)
Other operating expenses	(5,812)	(1,831)	(791)	(925)
Operating profit	387,230	289,978	150,387	113,021
Financial income	637	301	382	154
Financial expenses	(42,827)	(32,277)	(15,166)	(11,632)
Profit before tax	345,040	258,002	135,603	101,543
Income tax	(63,134)	(49,272)	(26,154)	(19,268)
Net profit from continuing operations	281,906	208,730	109,449	82,275
Net profit for the reporting period	281,906	208,730	109,449	82,275

*restated data

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2019 to 30 September 2019 (PLN 000s)

	<u>01.01.2019- 30.09.2019</u>	<u>01.01.2018- 30.09.2018*</u>	<u>01.07.2019- 30.09.2019</u>	<u>01.07.2018- 30.09.2018*</u>
Net profit for the reporting period	281,906	208,730	109,449	82,275
Actuarial gains/(losses) on defined benefit plans	-	-	-	-
Income tax on other comprehensive income	-	-	-	-
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-	-	-
Net other comprehensive income	-	-	-	-
Comprehensive income in the reporting period	281,906	208,730	109,449	82,275

*restated data

3.3. Condensed consolidated statement of financial position

as at 30 September 2019 (PLN 000s)

	30.09.2019	30.06.2019	31.12.2018*	30.09.2018*
ASSETS				
Property, plant and equipment	2,670,379	2,487,966	2,347,025	2,090,369
Right-of-use assets	223,258	250,672	-	-
Intangible assets	98,354	98,457	95,024	93,653
Other non-financial assets	16	18	22	24
Deferred tax assets	17,788	17,688	16,307	14,141
Total non-current assets	3,009,795	2,854,801	2,458,378	2,198,187
Inventories	523,290	489,075	445,357	376,507
Trade and other receivables	25,803	57,820	38,530	52,775
Income tax receivables	8	851	-	21
Other non-financial assets	47,271	40,547	76,483	57,659
Cash and cash equivalents	161,657	348,177	268,942	91,213
Total current assets	758,029	936,470	829,312	578,175
TOTAL ASSETS	3,767,824	3,791,271	3,287,690	2,776,362
EQUITY AND LIABILITIES				
Equity (attributable to owners of the parent)	1,493,779	1,384,330	1,211,873	1,113,223
Share capital	9,804	9,804	9,804	9,804
Supplementary capital	1,652,132	1,652,132	1,307,273	1,307,272
Retained earnings	(175,657)	(285,106)	(112,704)	(211,353)
Other equity	7,500	7,500	7,500	7,500
Non-controlling interests	-	-	-	-
Total equity	1,493,779	1,384,330	1,211,873	1,113,223
Interest-bearing loans and borrowings	597,029	629,803	518,240	447,712
Lease liabilities	112,002	115,819	67,088	73,816
Liabilities by virtue of outstanding securities	269,522	269,463	99,829	99,822
Other liabilities	210	210	240	240
Provisions for employee benefits	1,550	1,550	1,550	1,230
Provision for deferred tax liability	17,898	10,613	5,923	11,337
Accruals and deferred revenue	125	185	306	366
Total non-current liabilities	998,336	1,027,643	693,176	634,523
Trade and other payables	1,021,585	1,124,541	1,141,934	832,436
Current part of interest-bearing loans and borrowings	132,572	128,523	103,837	95,108
Lease liabilities	53,927	62,251	44,839	39,675
Liabilities by virtue of outstanding securities	709	702	654	637
Income tax liabilities	40,173	31,880	67,004	33,128
Accruals and deferred revenue	26,202	30,860	23,832	27,281
Provisions for employee benefits	541	541	541	351
Total current liabilities	1,275,709	1,379,298	1,382,641	1,028,616
Total liabilities	2,274,045	2,406,941	2,075,817	1,663,139
TOTAL EQUITY AND LIABILITIES	3,767,824	3,791,271	3,287,690	2,776,362

*restated data

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2019 to 30 September 2019 (PLN 000s)

	01.01.2019- 30.09.2019	01.01.2018- 30.09.2018*	01.07.2019- 30.09.2019	01.07.2018- 30.09.2018*
Cash flow from operating activities				
<i>Profit before tax</i>	345,040	258,002	135,603	101,543
<i>Adjustments for the line items:</i>	(25,531)	99,519	(73,510)	44,773
Depreciation and amortization	118,491	80,472	42,087	28,442
(Profit)/loss on investment activity	2,093	1,122	729	592
Movement in trade receivables and other receivables	51,218	(5,843)	21,864	(27,929)
Movement in inventories	(77,932)	(8,245)	(34,214)	(82)
Movement in liabilities, except for loans and borrowings	(75,562)	26,320	(107,457)	38,587
Interest revenue	(524)	(301)	(312)	(154)
Interest expense	42,801	32,218	15,170	11,610
Movement in prepayments, accruals and deferred revenue	(6,637)	(667)	(1,544)	4
Movement in provisions	-	-	-	-
Income tax paid	(79,479)	(25,557)	(9,833)	(6,297)
Other	-	-	-	-
Net cash from operating activities	319,509	357,521	62,093	146,316
Cash flow from investing activities				
Sale of items of property, plant and equipment and intangible assets	699	560	117	(277)
Purchase of items of property, plant and equipment and intangible assets	(630,298)	(473,923)	(195,256)	(194,444)
Interest received	524	301	312	154
Net cash from investing activities	(629,075)	(473,062)	(194,827)	(194,567)
Cash flow from financing activities				
Payment of lease liabilities	(42,964)	(33,232)	(14,258)	(11,119)
Proceeds from obtained loans/borrowings	324,679	225,881	23,973	12,064
Repayment of loans/borrowings	(208,147)	(131,020)	(48,758)	(21,527)
Issue of debt securities	170,000	-	-	-
Interest paid	(41,287)	(32,218)	(14,743)	(11,610)
Net cash from financing activities	202,281	29,411	(53,786)	(32,192)
Net increase in cash and cash equivalents	(107,285)	(86,130)	(186,520)	(80,443)
Cash at the beginning of the period	268,942	177,343	348,177	171,656
Cash at the end of the period	161,657	91,213	161,657	91,213

*restated data

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2019 to 30 September 2019 (PLN 000s)

	Attributable to owners of the parent				Total
	Share capital	Supplementary capital	Retained earnings	Other equity	
As at 1 January 2019	9,804	1,307,273	(112,704)	7,500	1,211,873
Net profit for 2019	-	-	281,906	-	281,906
<i>Comprehensive income for the year</i>	-	-	281,906	-	281,906
Distribution of the 2018 financial result	-	344,859	(344,859)	-	-
As at 30 September 2019	9,804	1,652,132	(175,657)	7,500	1,493,779
As at 1 January 2018	9,804	1,111,860	(224,671)	7,500	904,493
Net profit for 2018	-	-	307,554	-	307,554
Net other comprehensive income for 2018	-	-	(174)	-	(174)
<i>Comprehensive income for the year</i>	-	-	307,380	-	307,380
Distribution of the financial result for 2017	-	195,413	(195,413)	-	-
As at 31 December 2018	9,804	1,307,273	(112,704)	7,500	1,211,873
As at 1 January 2018	9,804	1,111,860	(224,671)	7,500	904,493
Net profit for 2018	-	-	208,730	-	208,730
<i>Comprehensive income for the year</i>	-	-	208,730	-	208,730
Distribution of the financial result for 2017	-	195,412	(195,412)	-	-
As at 30 September 2018	9,804	1,307,272	(211,353)	7,500	1,113,223

4. CONDENSED STANDALONE FINANCIAL STATEMENTS OF DINO POLSKA S.A.

4.1. Selected standalone financial data

	PLN 000s		EUR 000s*	
	<i>from 1 January 2019 to 30 September 2019</i>	<i>from 1 January 2018 to 30 September 2018</i>	<i>from 1 January 2019 to 30 September 2019</i>	<i>from 1 January 2018 to 30 September 2018</i>
Sales revenues	5,509,399	4,219,709	1,278,698	992,061
Operating profit	312,990	203,134	72,643	47,757
Profit before tax	274,564	171,246	63,725	40,260
Net profit	222,601	134,806	51,664	31,693
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	2.27	1.38	0.53	0.32
Cash flow from operating activities	253,060	323,184	58,734	75,981
Cash flow from investing activities	(516,928)	(423,780)	(119,976)	(99,631)
Cash flow from financing activities	155,086	10,286	35,995	2,418
Net change in cash and cash equivalents	(108,782)	(90,310)	(25,248)	(21,232)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- NBP's average exchange rate for Q1-Q3 2019: 4.3086
- NBP's average exchange rate for Q1-Q3 2018: 4.2535

	PLN 000s		EUR 000s*	
	<i>as at 30 September 2019</i>	<i>as at 31 December 2018</i>	<i>as at 30 September 2019</i>	<i>as at 31 December 2018</i>
Total assets	3,337,040	2,979,895	762,996	692,999
Total non-current assets	2,473,653	2,031,010	565,587	472,328
Total current assets	863,387	948,885	197,409	220,671
Equity	1,152,571	929,970	263,529	216,272
Share capital	9,804	9,804	2,242	2,280
Non-current liabilities	803,288	600,881	183,667	139,740
Current liabilities	1,313,349	1,397,539	300,290	325,009

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 30 September 2019: 4.3736
- NBP's average exchange rate as at 31 December 2018: 4.3000

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2019 to 30 September 2019 (PLN 000s)

	01.01.2019- 30.09.2019	01.01.2018- 30.09.2018*	01.07.2019- 30.09.2019	01.07.2018- 30.09.2018*
A. Net revenues on sales and equivalents	5,509,399	4,219,709	2,017,548	1,545,378
I. Net revenue on sales of products	11,661	15,163	4,659	10,162
IV. Net revenue on sales of goods and materials	5,497,738	4,204,546	2,012,889	1,535,216
B. Operating expenses	5,195,189	4,017,588	1,894,063	1,430,779
I. Depreciation and amortization	82,981	61,252	29,721	21,942
II. Consumption of materials and energy	79,238	61,015	28,213	25,660
III. External services	298,166	233,738	108,212	60,000
IV. Taxes and fees	22,174	16,034	7,081	5,306
V. Employee benefits	461,721	351,934	162,118	127,265
VI. Social security and other benefits	99,950	76,756	35,531	28,248
VII. Other costs by nature	23,532	17,848	9,948	7,203
VIII. Cost of goods and materials sold	4,127,427	3,199,011	1,513,239	1,155,155
C. Sales profit (loss) (A – B)	314,210	202,121	123,485	114,599
D. Other operating income	4,394	2,794	1,634	94
E. Other operating expenses	5,614	1,781	761	862
F. Operating profit (loss) (C+D-E)	312,990	203,134	124,358	113,831
G. Financial income	5,455	2,964	1,742	1,039
H. Financial expenses	43,881	34,852	15,584	12,625
I. Profit / (loss) before tax (F + G - H)	274,564	171,246	110,516	102,245
J. Income tax	51,963	36,440	21,349	22,270
L. Net profit (loss) (I – J – K)	222,601	134,806	89,167	79,975

*restated data

4.3. Condensed standalone balance sheet

as at 30 September 2019 (PLN 000s)

	30.09.2019	30.06.2019	31.12.2018*	30.09.2018*
A. Non-current assets	2,473,653	2,337,571	2,031,010	1,861,442
I. Intangible assets	25,563	25,945	22,868	22,682
II. Property, plant and equipment	1,664,080	1,529,653	1,256,963	1,086,060
III. Non-current receivables	-	-	-	-
IV. Non-current investments	755,836	755,836	727,435	729,093
V. Non-current prepayments and accruals	28,174	26,137	23,744	23,607
B. Current assets	863,387	1,038,514	948,885	642,786
I. Inventories	493,590	461,746	428,621	359,103
II. Current receivables	48,583	74,144	96,181	83,660
III. Current investments	312,100	492,466	421,667	193,478
IV. Current prepayments and accruals	9,114	10,158	2,416	6,545
C. Contributions due to share capital	-	-	-	-
D. Treasury stock	-	-	-	-
Total assets	3,337,040	3,376,085	2,979,895	2,504,228
Equity and liabilities				
A. Equity	1,152,571	1,063,404	929,970	893,430
I. Share capital	9,804	9,804	9,804	9,804
II. Supplementary capital	889,818	889,818	681,260	742,049
III. Revaluation reserve (fund)	-	-	-	-
IV. Other reserve capital	-	-	-	-
V. Profit (loss) brought forward	-	-	-	(18,816)
VI. Net profit (loss)	222,601	133,434	208,558	134,806
VII. Other items of equity	30,348	30,348	31,783	25,587
VIII. Charges to net profit during the financial year (negative figure)	-	-	(1,435)	-
B. Liabilities and provisions for liabilities	2,184,469	2,312,681	2,049,925	1,610,798
I. Provisions for liabilities	45,660	36,544	29,670	30,926
II. Non-current liabilities	803,288	835,303	600,881	532,241
III. Current liabilities	1,313,349	1,414,181	1,397,539	1,028,578
IV. Accruals and deferred revenue	22,172	26,653	21,835	19,053
Total liabilities and equity	3,337,040	3,376,085	2,979,895	2,504,228

*restated data

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2019 to 30 September 2019 (PLN 000s)

	01.01.2019- 30.09.2019	01.01.2018- 30.09.2018*	01.07.2019- 30.09.2019	01.07.2018- 30.09.2018*
A. Cash flow from operating activities				
I. Net profit (loss)	222,601	134,806	89,167	79,975
II. Total adjustments	30,459	188,378	(43,382)	44,586
1. Depreciation and amortization	82,981	61,252	29,721	21,942
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-	-	-
3. Interest and profit sharing (dividends)	34,020	27,982	12,375	9,568
4. Profit (loss) on investing activity	2,081	1,243	773	684
5. Movement in provisions	15,990	10,389	9,116	3,017
6. Movement in inventories	(64,969)	(530)	(31,844)	4,761
7. Movement in receivables	45,960	13,751	25,352	(18,796)
8. Movement in current liabilities, except for loans and borrowings	(74,813)	50,015	(83,401)	12,139
9. Movement in prepayments, accruals and deferred revenue	(10,791)	24,276	(5,474)	11,271
III. Net cash flow from operating activities (I±II)	253,060	323,184	45,785	124,561
B. Cash flow from investing activities				
I. Inflows	108,207	2,403	25,022	(639)
1. Sale of intangible assets and property, plant and equipment	2,340	515	429	(514)
2. Sale of investments in real property and intangible assets	-	-	-	-
3. From financial assets, of which:	105,867	1,888	24,593	(125)
a) in related entities	105,681	1,666	24,484	(252)
b) in other entities	186	222	109	127
- interest	186	222	109	127
II. Outflows	(625,135)	(426,183)	(195,851)	(174,489)
1. Purchase of intangible assets and property, plant and equipment	(498,230)	(375,410)	(176,551)	(148,241)
2. Investments in real property and intangible assets	-	-	-	-
3. Towards financial assets, of which:	(126,905)	(50,773)	(19,300)	(26,248)
a) in related entities	(126,905)	(50,773)	(19,300)	(26,248)
III. Net cash flow from investing activities (I-II)	(516,928)	(423,780)	(170,829)	(175,128)
C. Cash flow from financing activities				
I. Inflows	425,889	197,286	17,183	82
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-	-	-
2. Loans and borrowings	255,889	197,286	17,183	82
3. Issue of debt securities	170,000	-	-	-
II. Outflows	(270,803)	(187,000)	(67,430)	(39,838)
1. Purchase of treasury shares	-	-	-	-
2. Dividends and other distributions to owners	-	-	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-	-	-
4. Repayment of loans and borrowings	(195,729)	(122,579)	(43,077)	(18,170)
5. Redemption of debt securities	-	-	-	-
6. On account of other financial liabilities	-	-	-	-
7. Payment of finance lease liabilities	(30,678)	(30,583)	(10,249)	(10,013)
8. Interest	(39,957)	(29,603)	(12,601)	(10,166)
9. Other financial expenditures	(4,439)	(4,235)	(1,503)	(1,489)
III. Net cash from financing activities (I-II)	155,086	10,286	(50,247)	(39,756)
D. Total net cash flow (A.III±B.III±C.III)	(108,782)	(90,310)	(175,291)	(90,323)
E. Balance sheet movement in cash, including	(108,782)	(90,310)	(175,291)	(90,323)
- movement in cash arising from changes in foreign currency exchange rates	-	-	-	-
F. Cash at the beginning of the period	259,406	160,695	325,915	160,708
G. Cash at the end of the period (F±D), including	150,624	70,385	150,624	70,385
- restricted cash	43	16	8	16

*restated data

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2019 to 30 September 2019 (PLN 000s)

(in thousands of PLN)

	01.01.2019- 30.09.2019	01.01.2018- 31.12.2018	01.01.2018- 30.09.2018*
I. Equity at the beginning of the period (OB)	929,970	658,158	658,158
- effect of the merger with a subsidiary	-	100,466	100,466
I.a. Equity at the beginning of the period (OB), adjusted	929,970	758,624	758,624
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	9,804	9,804	9,804
2. Supplementary capital at the beginning of the period	681,260	621,345	621,345
2.1. Changes to supplementary capital	208,558	59,915	120,704
(i) increase	208,558	120,704	120,704
- profit distribution	208,558	92,504	92,504
- effect of the merger with a subsidiary - subsidiary's transfer of profit to supplementary capital	-	28,200	28,200
b) decrease	-	(60,789)	-
- effect of the merger with a subsidiary - subsidiary's payout of an interim dividend from retained earnings and supplementary capital executed prior to the merger	-	(41,973)	-
- effect of the merger with a subsidiary - coverage of retained losses in a subsidiary	-	(18,816)	-
2.2. Balance of supplementary capital at the end of the period	889,818	681,260	742,049
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	208,558	120,342	120,342
5.1. Profit brought forward at the beginning of the period	208,558	139,158	139,158
5.2. Profit brought forward at the beginning of the period, adjusted	208,558	139,158	139,158
(i) increase	-	-	-
b) decrease	(208,558)	(139,158)	(139,158)
- distribution of profits brought forward	(208,558)	(92,504)	(92,504)
- effect of the merger with a subsidiary - subsidiary's transfer of profit to supplementary capital	-	(28,200)	(28,200)
- effect of the merger with a subsidiary - subsidiary's retained losses	-	(18,454)	(18,454)
5.3. Profit brought forward at the end of the period	-	-	-
5.4. Loss brought forward at the beginning of the period	-	(18,816)	(18,816)
5.5. Loss brought forward at the beginning of the period, adjusted	-	(18,816)	(18,816)
(i) increase	-	-	-
b) decrease	-	18,816	-
- effect of the merger with a subsidiary - subsidiary's retained losses	-	18,816	-
5.6. Losses brought forward at the end of the period	-	-	(18,816)
5.7. Profit (loss) brought forward at the end of the period	-	-	(18,816)
6. Net result	222,601	208,558	134,806
a) net profit	222,601	208,558	134,806
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	31,783	7,133	7,133
7.1 Change in other items of equity	(1,435)	24,650	18,454
(i) increase	(1,435)	24,650	18,454
- effect of settlement of the merger with a subsidiary	(1,435)	24,650	18,454
7. Other items of equity at the end of the period	30,348	31,783	25,587
8. Charges to net profit during the financial year (negative figure)	-	(1,435)	-
II. Equity at the end of the period (CB)	1,152,571	929,970	893,430

III. Equity after considering the proposed distribution of profits (coverage of losses)

1,152,571 929,970 893,430

**restated data*

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter “IFRS”) published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2018. These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Vitrena Holdings Ltd., which is currently being liquidated. The interim (condensed) consolidated financial statements for the period from 1 January 2019 to 30 September 2019 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister’s Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2018.

To ensure the comparability of data, comparative data for the previous financial year were calculated as if the merger of Dino Polska S.A. and Pol-Food Polska sp. o.o. had taken place at the beginning of the previous financial year. The details of this business combination were presented in the 2018 financial statements. These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2019 to 30 September 2019 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

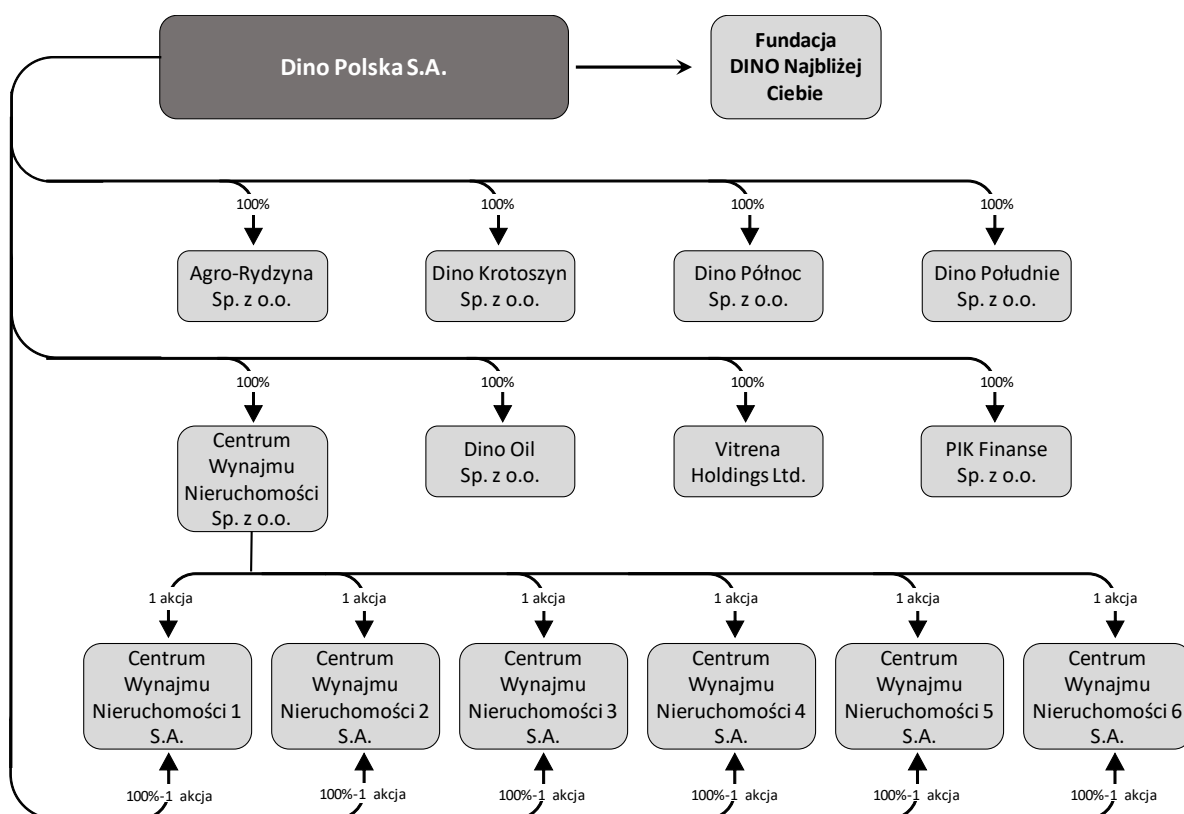
5.2. Group Overview

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, the selection of the product range offered in the stores and it supports other subsidiaries (Real Estate Lease Centers) in the execution of investment processes related to securing new sites and building new stores. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a three-person Management Board in the following composition: Szymon Piduch, Chief Executive Officer and President of the Management Board, Michał Krauze, Chief Financial Officer and Management Board Member and Michał Muskała, Chief Investment Project Officer and Management Board Member. Michał Muskała was appointed to the Management Board by the Company's Supervisory Board in August 2019.

Jakub Macuga tendered his resignation from serving in the capacity of a Management Board Member of Dino Polska S.A. on 11 October 2019. As justification for his resignation Jakub Macuga cited the need to be fully involved in his work as a Management Board member in subsidiaries of Dino Polska S.A. On 10 October 2019 Jakub Macuga was appointed to be a Management Board member of Dino Południe Sp. z o.o., a company that provides warehousing services to Dino Polska S.A. On top of that, Jakub Macuga will continue to service in his capacity as a Management Board member of PIK Finanse Sp. z o.o. and he will retain his responsibility for managing the financial liquidity of the Dino Polska S.A. Group.

The Group consists of Dino Polska S.A. and the following subsidiaries:



5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

5.4. Other information

Non-recurring amounts and events

No non-recurring events transpired in the Dino Group's business in the period from 1 January 2019 to 30 September 2019.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data for the period from 1 January 2019 to 30 September 2019

(PLN 000s)	30.09.2019	Change	31.12.2018
Impairment losses on receivables	251	(41)	292

Unconsolidated financial data for the period from 1 January 2019 to 30 September 2019

(PLN 000s)	30.09.2019	Change	31.12.2018
Impairment losses on receivables	183	(41)	224

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data for the period from 1 January 2019 to 30 September 2019

(PLN 000s)	30.09.2019	Change	31.12.2018
Provision for deferred tax liability	17,898	11,975	5,923
Provision for pension and similar benefits	2,091	-	2,091
	19,989	11,975	8,014

Unconsolidated financial data for the period from 1 January 2019 to 30 September 2019

(PLN 000s)	30.09.2019	change	31.12.2018
Provision for deferred tax liability	43,783	15,990	27,793
Provision for pension and similar benefits	1,877	-	1,877
	45,660	15,990	29,670

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2019 to 30 September 2019

(PLN 000s)	30.09.2019	change	31.12.2018
Provision for deferred tax liability	17,898	11,975	5,923
Deferred tax asset	17,788	1,481	16,307

Unconsolidated financial data
for the period from 1 January 2019 to 30 September 2019

(PLN 000s)	30.09.2019	change	31.12.2018
Provision for deferred tax liability	43,783	15,990	27,793
Deferred tax asset	28,174	4,430	23,744

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 30 September 2019, the Group incurred capital expenditures of approximately PLN 594 million, including fixed assets under construction (in 2018 this level was roughly PLN 466 million).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 105,363 thousand. At the end of Q3 2018, investment commitments were PLN 74,620 thousand.

Material litigation-related settlements

No material litigation transpired in the period from 1 January 2019 to 30 September 2019.

Correction of errors of previous periods

To ensure comparative data a correction of an error was made in respect of the recognition of revenue and costs related to transactions involving press and mobile telephone top-ups as discussed in the 2018 financial statements. Accordingly, revenue and costs in Q1-Q3 2018 were reduced by PLN 42,527 thousand.

Moreover, a change was made involving the recognition of receivables for payment cards in the line item entitled other receivables instead of in the line item entitled cash and cash equivalents. Accordingly, the pertinent reclassification has been made as discussed in the H1 2019 Report.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

The changes in the economic situation and business conditions had no material effect on the fair value of the Group's financial assets and financial liabilities.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on the arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

No events referred to in this header occurred in the reporting period.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period, the Group had contingent liabilities arising from concluded preliminary agreements for PLN 417 million.

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2019.

Proceedings pending before courts or other competent bodies for the relevant proceedings

No major litigation appeared in the reporting period.

Information on related party transactions

No transactions covered by this item were concluded in the reporting period. Both the Parent Company and its subsidiaries enter into transactions on the arm's length basis.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

No events referred to in this header occurred in the reporting period.

Other information

Up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Szymon Piduch – President of the Management Board

Michał Krauze – Management Board Member

Michał Muskała – Management Board Member

Krotoszyn, 7 November 2019